HANGS Construction Services · November 2026 Progress Billing

HANGS Construction Services LLC · 1200 Example Road, Anytown, WA 00000 · Pay applications for the period to November 30, 2026 · Prepared November 24, 2026 · DRAFT for the Controller's review and signature. Nothing has been sent.

Two applications are ready for review: **$190,505.50** due in all, on $184,090.00 of work and stored materials billed this period. Each is built line by line from the schedule of values, admits only change orders the owner has signed and stored materials the contract allows, and carries the contract's retainage. 4 items were corrected or need a person before the package goes out; they are listed below and explained on the last pages.

	Bellhaven S-2601	Marlowe Ridge S-2604
Application	7	7
Invoice	INV-3441	INV-3442
Contract sum to date	$1,294,550.00	$390,700.00
Work this period	$126,490.00	$45,200.00
Materials stored	$0.00	$12,400.00
Completed and stored to date	$1,106,570.00	$370,000.00
Retainage	$55,328.50	$18,500.00
Previous certificates	$931,076.00	$281,160.00
Current payment due	**$120,165.50**	**$70,340.00**
Retainage rate	5%	5% (owner's approval, November 14)
Over (under) billing, WIP	-$64,796.66	-$3,633.90
Receivables after, retainage after	$270,626.50 · $55,328.50	$128,660.00 · $18,500.00

Before sending: 4 items

Correct Before Sending · Unsigned Change Order Left Out · CO-04, S-2601 · $5,800.00. CO-04, exterior signage, $14,500.00, is on the project manager's progress at $5,800.00 but the owner has not signed it.

Needs a Person · Stored Materials Without Support · BOS-2207, S-2601 · $18,600.00. $18,600.00 of fixtures stored off site at Northline Bonded Storage, unit 14 is on the progress without a certificate of insurance or the owner's approval.

Correct Before Sending · Retainage Reduction Not in the Billing System · S-2604, application 7 · $18,500.00. The billing system still withholds 10% on job S-2604; the owner approved 5% from application 7 on November 14, 2026.

Correct Before Sending · Unconditional Waiver Before Payment · S-2604, application 6 · $58,320.00. The draft unconditional waiver for Marlowe Ridge Dental PLLC releases application 6, $58,320.00, which has not been paid.

Ties

S-2601: the 7 earlier applications rebuild to the cent; the receivables ledger's open items and retainage agree with them; billed to date is 85.5% against 90.5% complete on cost. S-2604: the 6 earlier applications rebuild to the cent; the receivables ledger's open items and retainage agree with them; billed to date is 94.7% against 95.6% complete on cost.

Controller signature: _____ Date: _____ Draft, unsigned. Nothing has been posted, signed or sent.

Application and Certificate for Payment

Application No. 7 · DRAFT, not signed

To the owner	From the contractor	Project
Bellhaven Library District, Facilities Director, 75 Bellhaven Avenue, Anytown, WA 00000	HANGS Construction Services LLC, 1200 Example Road, Anytown, WA 00000	Bellhaven Branch Library Renovation, Job S-2601, Architect: Kestrel Studio Architects
Application No.	**Period to**	**Application date · Contract date · Invoice**
7	November 30, 2026	November 25, 2026 · contract of February 23, 2026 · INV-3441

Contractor's application for payment

Line	Amount
1. Original contract sum	$1,240,000.00
2. Net change by signed change orders	$54,550.00
3. Contract sum to date (line 1 plus line 2)	$1,294,550.00
4. Total completed and stored to date (continuation sheet)	$1,106,570.00
5. Retainage: a. 5% of completed work $55,328.50; b. 5% of stored materials $0.00	$55,328.50
6. Total earned less retainage (line 4 less line 5)	$1,051,241.50
7. Less previous certificates for payment	$931,076.00
8. Current payment due	**$120,165.50**
9. Balance to finish, including retainage (line 3 less line 6)	$243,308.50

Change order summary	Additions	Deductions
Signed in previous months	$54,550.00	$0.00
Signed this month	$0.00	$0.00
Totals	$54,550.00	$0.00
Net change by change orders	**$54,550.00**	

Change orders not signed by the owner are not included: CO-04 exterior signage ($14,500.00).

Contractor's statement. HANGS Construction Services LLC states that the work billed in this application was performed under the contract documents, that its subcontractors and suppliers have been paid from the payments received for their earlier work, and that the amount in line 8 is now due.	**Architect's certification.** On its observation of the work and the data in this application, the architect certifies the amount below for payment. Amount certified: $_____ Architect: _____ Date: _____
By: _____ Controller Date: _____ (draft, not signed)	Kestrel Studio Architects

Continuation Sheet

Application No. 7 · Bellhaven Branch Library Renovation, job S-2601 · Period to November 30, 2026 · Retainage 5% · DRAFT

Item	Description of work	Scheduled value	From previous application	This period	Materials presently stored	Completed and stored to date	%	Balance to finish	Retainage
1	General conditions	$150,000.00	$118,500.00	$9,000.00	$0.00	$127,500.00	85.0%	$22,500.00	$6,375.00
2	Sitework and demolition	$62,000.00	$62,000.00	$0.00	$0.00	$62,000.00	100.0%	$0.00	$3,100.00
3	Framing, drywall and finishes	$478,000.00	$380,000.00	$41,000.00	$0.00	$421,000.00	88.1%	$57,000.00	$21,050.00
4	Mechanical and controls	$330,000.00	$236,520.00	$38,000.00	$0.00	$274,520.00	83.2%	$55,480.00	$13,726.00
5	Electrical and lighting	$220,000.00	$141,000.00	$26,000.00	$0.00	$167,000.00	75.9%	$53,000.00	$8,350.00
6	Asbestos abatement, reading room (CO-01)	$18,400.00	$18,400.00	$0.00	$0.00	$18,400.00	100.0%	$0.00	$920.00
7	Added data cabling (CO-02)	$9,850.00	$7,880.00	$1,970.00	$0.00	$9,850.00	100.0%	$0.00	$492.50
8	Building automation controls upgrade, AHU-1 to AHU-3 (CO-03)	$26,300.00	$15,780.00	$10,520.00	$0.00	$26,300.00	100.0%	$0.00	$1,315.00
	Totals	**$1,294,550.00**	**$980,080.00**	**$126,490.00**	**$0.00**	**$1,106,570.00**	**85.5%**	**$187,980.00**	**$55,328.50**

Line 5: $18,600.00 stored off site held back; no certificate of insurance or owner approval (BIL-4).
CO-04 exterior signage, $14,500.00: not signed by the owner; not on this application (BIL-2).

Invoice INV-3441

HANGS Construction Services LLC · 1200 Example Road, Anytown, WA 00000

Bill to	Invoice	Project
Facilities Director, Bellhaven Library District, 75 Bellhaven Avenue, Anytown, WA 00000	INV-3441, dated November 25, 2026	Bellhaven Branch Library Renovation, job S-2601

Description	Amount
Application No. 7, work through November 30, 2026: completed and stored to date	$1,106,570.00
Less retainage at 5%	-$55,328.50
Less previous certificates for payment	-$931,076.00
Amount due this invoice	**$120,165.50**

This period: $126,490.00 of work.
Terms: payable under Article 5 of the contract, on the architect's certificate. Please reference the invoice number with your payment.

Lien Waivers

Conditional Waiver and Release on Progress Payment

When HANGS Construction Services LLC has received payment of $120,165.50 from Bellhaven Library District for its work on Bellhaven Branch Library Renovation through November 30, 2026 (application 7, invoice INV-3441), this waiver releases its lien and payment bond rights for labor, services and materials furnished through that date, up to the amount paid. It does not cover retainage, work after that date, change orders not yet signed, or amounts in dispute. It has no effect until the payment is received; a check counts only once it clears.

Claimant: HANGS Construction Services LLC · By: _____ Controller · Date: _____ (draft, not signed)

Unconditional Waiver and Release on Progress Payment

HANGS Construction Services LLC has been paid $120,555.00 by Bellhaven Library District for its work on Bellhaven Branch Library Renovation through September 30, 2026 (application 5, invoice INV-3392, received October 27, 2026). It releases its lien and payment bond rights for labor, services and materials furnished through that date, up to that amount, except retainage, later work, unsigned change orders and amounts in dispute. This waiver takes effect when signed, so it is given only for a payment already received.

Claimant: HANGS Construction Services LLC · By: _____ Controller · Date: _____ (draft, not signed)

Cover Email · DRAFT, NOT SENT

For the Controller's approval (BIL-8). Nothing has been sent.

From	Controller, HANGS Construction Services LLC
To	Facilities Director, Bellhaven Library District <facilities@bellhaven-library.example>
Cc	Kestrel Studio Architects <contract-admin@kestrel-studio.example>
Subject	Application for Payment No. 7, Bellhaven Branch Library Renovation, job S-2601, period to November 30, 2026

Hello,

Attached is our Application and Certificate for Payment No. 7 for the Bellhaven Branch Library Renovation, with the continuation sheet, invoice INV-3441 and our lien waivers, for work through November 30, 2026.

The current payment due is $120,165.50. Work completed and stored to date is $1,106,570.00 of a $1,294,550.00 contract sum, with retainage of $55,328.50 at 5%.

Attached: Application and Certificate for Payment No. 7; Continuation Sheet; Invoice INV-3441; Conditional Waiver and Release on Progress Payment, application 7; Unconditional Waiver and Release on Progress Payment, application 5, $120,555.00 received October 27, 2026.

Please let us know if the architect needs anything further to certify the application.

Thank you,

Controller, HANGS Construction Services LLC

Application and Certificate for Payment

Application No. 7 · DRAFT, not signed

To the owner	From the contractor	Project
Marlowe Ridge Dental PLLC, Accounts Payable, 3100 Marlowe Ridge Road, Suite 4, Anytown, WA 00000	HANGS Construction Services LLC, 1200 Example Road, Anytown, WA 00000	Marlowe Ridge Dental Tenant Improvement, Job S-2604, Architect: Pinegrove Design Group
Application No.	**Period to**	**Application date · Contract date · Invoice**
7	November 30, 2026	November 25, 2026 · contract of May 11, 2026 · INV-3442

Contractor's application for payment

Line	Amount
1. Original contract sum	$386,500.00
2. Net change by signed change orders	$4,200.00
3. Contract sum to date (line 1 plus line 2)	$390,700.00
4. Total completed and stored to date (continuation sheet)	$370,000.00
5. Retainage: a. 5% of completed work $17,880.00; b. 5% of stored materials $620.00	$18,500.00
6. Total earned less retainage (line 4 less line 5)	$351,500.00
7. Less previous certificates for payment	$281,160.00
8. Current payment due	**$70,340.00**
9. Balance to finish, including retainage (line 3 less line 6)	$39,200.00

Change order summary	Additions	Deductions
Signed in previous months	$0.00	$0.00
Signed this month	$4,200.00	$0.00
Totals	$4,200.00	$0.00
Net change by change orders	**$4,200.00**	

Change orders not signed by the owner are not included: none.

Contractor's statement. HANGS Construction Services LLC states that the work billed in this application was performed under the contract documents, that its subcontractors and suppliers have been paid from the payments received for their earlier work, and that the amount in line 8 is now due.	**Architect's certification.** On its observation of the work and the data in this application, the architect certifies the amount below for payment. Amount certified: $_____ Architect: _____ Date: _____
By: _____ Controller Date: _____ (draft, not signed)	Pinegrove Design Group

Continuation Sheet

Application No. 7 · Marlowe Ridge Dental Tenant Improvement, job S-2604 · Period to November 30, 2026 · Retainage 5% · DRAFT

Item	Description of work	Scheduled value	From previous application	This period	Materials presently stored	Completed and stored to date	%	Balance to finish	Retainage
1	General conditions	$34,000.00	$26,000.00	$4,000.00	$0.00	$30,000.00	88.2%	$4,000.00	$1,500.00
2	Framing, drywall and finishes	$144,000.00	$128,000.00	$12,000.00	$0.00	$140,000.00	97.2%	$4,000.00	$7,000.00
3	Dental plumbing	$94,000.00	$79,000.00	$9,000.00	$0.00	$88,000.00	93.6%	$6,000.00	$4,400.00
4	Electrical	$68,000.00	$55,000.00	$8,000.00	$0.00	$63,000.00	92.6%	$5,000.00	$3,150.00
5	Casework and equipment rough-in	$46,500.00	$24,400.00	$8,000.00	$12,400.00	$44,800.00	96.3%	$1,700.00	$2,240.00
6	Sterilization room plumbing (CO-01)	$4,200.00	$0.00	$4,200.00	$0.00	$4,200.00	100.0%	$0.00	$210.00
	Totals	**$390,700.00**	**$312,400.00**	**$45,200.00**	**$12,400.00**	**$370,000.00**	**94.7%**	**$20,700.00**	**$18,500.00**

Line 5: $12,400.00 stored on site, delivered November 20, delivery ticket DT-5521.

Invoice INV-3442

HANGS Construction Services LLC · 1200 Example Road, Anytown, WA 00000

Bill to	Invoice	Project
Accounts Payable, Marlowe Ridge Dental PLLC, 3100 Marlowe Ridge Road, Suite 4, Anytown, WA 00000	INV-3442, dated November 25, 2026	Marlowe Ridge Dental Tenant Improvement, job S-2604

Description	Amount
Application No. 7, work through November 30, 2026: completed and stored to date	$370,000.00
Less retainage at 5%	-$18,500.00
Less previous certificates for payment	-$281,160.00
Amount due this invoice	**$70,340.00**

This period: $45,200.00 of work and $12,400.00 of materials stored on site; retainage released on earlier work under the owner's approval, $15,620.00.
Terms: payable under Article 5 of the contract, on the architect's certificate. Please reference the invoice number with your payment.

Lien Waivers

Conditional Waiver and Release on Progress Payment

When HANGS Construction Services LLC has received payment of $70,340.00 from Marlowe Ridge Dental PLLC for its work on Marlowe Ridge Dental Tenant Improvement through November 30, 2026 (application 7, invoice INV-3442), this waiver releases its lien and payment bond rights for labor, services and materials furnished through that date, up to the amount paid. It does not cover retainage, work after that date, change orders not yet signed, or amounts in dispute. It has no effect until the payment is received; a check counts only once it clears.

Claimant: HANGS Construction Services LLC · By: _____ Controller · Date: _____ (draft, not signed)

Unconditional Waiver and Release on Progress Payment

HANGS Construction Services LLC has been paid $41,760.00 by Marlowe Ridge Dental PLLC for its work on Marlowe Ridge Dental Tenant Improvement through September 30, 2026 (application 5, invoice INV-3385, received November 6, 2026). It releases its lien and payment bond rights for labor, services and materials furnished through that date, up to that amount, except retainage, later work, unsigned change orders and amounts in dispute. This waiver takes effect when signed, so it is given only for a payment already received.

Claimant: HANGS Construction Services LLC · By: _____ Controller · Date: _____ (draft, not signed)

Cover Email · DRAFT, NOT SENT

For the Controller's approval (BIL-8). Nothing has been sent.

From	Controller, HANGS Construction Services LLC
To	Accounts Payable, Marlowe Ridge Dental PLLC <ap@marloweridgedental.example>
Cc	Pinegrove Design Group <admin@pinegrove-design.example>
Subject	Application for Payment No. 7, Marlowe Ridge Dental Tenant Improvement, job S-2604, period to November 30, 2026

Hello,

Attached is our Application and Certificate for Payment No. 7 for the Marlowe Ridge Dental Tenant Improvement, with the continuation sheet, invoice INV-3442 and our lien waivers, for work through November 30, 2026.

The current payment due is $70,340.00. Work completed and stored to date is $370,000.00 of a $390,700.00 contract sum, with retainage of $18,500.00 at 5%.

Attached: Application and Certificate for Payment No. 7; Continuation Sheet; Invoice INV-3442; Conditional Waiver and Release on Progress Payment, application 7; Unconditional Waiver and Release on Progress Payment, application 5, $41,760.00 received November 6, 2026.

Please let us know if the architect needs anything further to certify the application.

Thank you,

Controller, HANGS Construction Services LLC

Open Items for the Controller

Unsigned Change Order Left Out · CO-04, S-2601 · $5,800.00 · Correct Before Sending

BIL-2 Change Orders (Progress Billing Procedures page 1): “Only change orders signed by the owner are included. Work on an unsigned change order is left out and billed on the next application after the owner signs.”

BIL-1 Schedule of Values (Progress Billing Procedures page 1): “Each application is built line by line from the approved schedule of values. The contract sum to date is the original contract plus change orders signed by the owner, and no line may be billed past its scheduled value.”

The change order log shows CO-04 submitted November 12, 2026 and “pending owner signature”. The contract and BIL-2 admit only change orders the owner has signed, so application 7 leaves the line out: its $14,500.00 is not in the contract sum to date and its $5,800.00 of work is not billed. Once the owner signs, the work goes on the next application. Left in, the owner's architect would have returned the whole application.

Follow-up: Project manager gets CO-04 signed by Bellhaven Library District (Project manager). Status: Open.

Stored Materials Without Support · BOS-2207, S-2601 · $18,600.00 · Needs a Person

BIL-4 Stored Materials (Progress Billing Procedures page 2): “Stored materials are billed only as the contract allows: on site with the delivery ticket; off site only with a bill of sale, a certificate of insurance naming the owner and the owner's written approval. Materials without that support are held for the next application.”

The project manager lists $18,600.00 of materials stored on line 5, electrical and lighting: pendant and linear LED fixtures, reading room and stacks (42 units). Lumenfield's bill of sale BOS-2207 supports the value, but it has no attachments: the contract and BIL-4 also require a certificate of insurance covering the storage location and naming Bellhaven Library District, and the owner's written approval. Application 7 holds the materials back, which lowers the current payment due by $17,670.00 after retainage. With the certificate and the approval they can go on a supplemental application or on application 8.

Follow-up: Get the storage certificate of insurance naming Bellhaven Library District and the owner's written approval (Project manager). Status: Open.

Retainage Reduction Not in the Billing System · S-2604, application 7 · $18,500.00 · Correct Before Sending

BIL-5 Retainage (Progress Billing Procedures page 2): “Retainage is withheld at the contract rate on work completed and stored to date. A reduction is applied only with the owner's written approval and only as the contract allows. Previous certificates are the total earned less retainage on the last application, including any supplemental application.”

The contract lets the owner reduce retainage to 5% of the work completed and stored once the work is more than 50% complete. Application 6 brought it to 81%, and the owner's letter of November 14, 2026 approves 5% from application 7. At the system's 10%, retainage would be $37,000.00 and the current payment due $51,840.00. At 5% it is $18,500.00 and the payment due $70,340.00: $15,620.00 of the $31,240.00 held on earlier work is released and the new work carries 5%. Update the job's retainage rate in the billing system before the invoice is issued.

Follow-up: Billing clerk changes S-2604's retainage rate to 5% from application 7 (Controller). Status: Open.

Unconditional Waiver Before Payment · S-2604, application 6 · $58,320.00 · Correct Before Sending

BIL-6 Lien Waivers (Progress Billing Procedures page 3): “Each application carries a conditional waiver for the current payment due, through the period end. An unconditional waiver is given only for a payment actually received, for that payment's amount and through date, never before the money arrives.”

An unconditional waiver gives up the right to be paid for the amount it names as soon as it is signed, so BIL-6 allows one only for money received. Application 6 (INV-3401, $58,320.00, billed October 15, 2026) is still open on the receivables ledger. The last payment received is application 5 (INV-3385), $41,760.00 on November 6, 2026, for work through September 30, 2026: the package carries the unconditional waiver for that payment instead, and application 6 gets its unconditional waiver when its payment arrives.

Follow-up: Project manager discards the draft waiver for application 6; Controller signs the corrected waiver (Controller). Status: Open.

Proposed Billing Entries (Not Posted)

Entry	Account	Debit	Credit	Support
BIL-01	1200 Accounts Receivable	$120,165.50		Application 7 on job S-2601, INV-3441, for work through November 30, 2026
	1210 Retainage Receivable	$6,324.50		
	4100 Contract Revenue		$126,490.00	

Entry	Account	Debit	Credit	Support
BIL-02	1200 Accounts Receivable	$70,340.00		Application 7 on job S-2604, INV-3442, for work through November 30, 2026
	1210 Retainage Receivable		$12,740.00	
	4100 Contract Revenue		$57,600.00	

Every application, invoice and waiver here is a draft. The Controller reviews and signs; only then is the package emailed to the owner and the architect. Nothing has been posted, signed or sent, and this package is not a sign-off.

Prepared by: F1 Finance Accounting Machine (draft, unsigned)
Reviewed and approved by: _____ Controller · Date: _____